4. A *public debt management agency*, the investment banker for the government.

Public choice theory comes in the way of the sound working of each of these four organizations. The officials that man these organizations are likely to favour arbitrary power and low accountability. Officials may be overeager to ban certain kinds of business activity, so as to obtain peace of mind from not having to take responsibility for regulatory functions. Officials may cross the line from regulation into central planning, and micromanage private persons in their quest for personal power. Regulators can deploy their powers to investigate, prosecute and punish in a selective way.

In each of these four organizations, we must worry about the puzzle of creating the checks and balances which are conducive to good outcomes.

Achieving state capacity for the central bank

When a central bank creates money, there is the possibility of excessive money creation. The creation of money needs to be anchored into the real economy. In addition, the entire work process of creating money—i.e., monetary policy—requires an accountability mechanism. These problems are solved by requiring that the central bank deliver on an inflation target. The 4 per cent CPI inflation target achieves two things. First, it holds RBI accountable. Second, it establishes a self-adjusting system for the production of money which creates the public good of macroeconomic stabilization. When the engine of creating money is placed under the control of an inflation target, this becomes a tool for macroeconomic stabilization. When times are tough, inflation will tend to be low, and the central bank will cut rates, and vice versa.

There is a long lag between changes in monetary policy and their impact upon the economy. There is a danger that monetary policy can be used to influence elections. In the year prior to elections, interest rates will be cut